APPRAISAL REPORT

Dover Hotel | Greenville, SC

Subject Property	Dover Hotel
Address	577 Station Road, Greenville, SC 69061
Property Rights Appraised	Fee Simple
Effective Date of Value	November 21, 2018
Market Value Conclusion	$37,660,000

Market Overview

Rent growth in the submarket has averaged 4.2% annually over the past 4 years. Market vacancy for comparable Hotel product stands at 6.6%, down from 7.8% two years ago. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The Greenville Hotel market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Trailing twelve-month occupancy was 91.3% with an average daily rate of $174 and RevPAR indexing above the competitive set.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The Greenville Hotel market has experienced absorption of 3600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Dover Hotel is located in Greenville, SC, a market that has recorded 2.8% population growth over the last five years.

Site Description

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 26.26 acres and is generally level with frontage along Station Road. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 47.47 acres and is generally level with frontage along Station Road. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Supply and Demand

The Greenville Hotel market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Dover Hotel is located in Greenville, SC, a market that has recorded 5.7% population growth over the last five years. Investor demand for Hotel assets in Greenville remains strong with recent trades at capitalization rates between 5.06% and 5.06%. The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 24 meeting rooms.

Dover Hotel is located in Greenville, SC, a market that has recorded 8.4% population growth over the last five years. Investor demand for Hotel assets in Greenville remains strong with recent trades at capitalization rates between 6.29% and 6.29%. Market vacancy for comparable Hotel product stands at 11.7%, down from 7.8% two years ago. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Median household income within a 7-mile radius of the property is approximately $329,000 and has grown 4.7% annually.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 11.11 acres and is generally level with frontage along Station Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

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Market Overview

Dover Hotel is located in Greenville, SC, a market that has recorded 12.8% population growth over the last five years. Revenue is driven by transient corporate demand, group business and weekend leisure travel. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Hotel product stands at 2.5%, down from 5.0% two years ago. Median household income within a 2-mile radius of the property is approximately $119,000 and has grown 4.9% annually. The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 6 meeting rooms.

The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 38 meeting rooms. Market vacancy for comparable Hotel product stands at 9.2%, down from 4.4% two years ago. Trailing twelve-month occupancy was 91.4% with an average daily rate of $174 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Hotel assets in Greenville remains strong with recent trades at capitalization rates between 5.03% and 5.03%.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 10.10 acres and is generally level with frontage along Station Road. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Access to the site is provided by 12 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 11.11 acres and is generally level with frontage along Station Road. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Market Overview

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The Greenville Hotel market has experienced absorption of 1900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Hotel assets in Greenville remains strong with recent trades at capitalization rates between 5.71% and 5.71%. Trailing twelve-month occupancy was 92.6% with an average daily rate of $174 and RevPAR indexing above the competitive set. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Hotel product stands at 5.3%, down from 3.0% two years ago.

Rent growth in the submarket has averaged 6.5% annually over the past 4 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 94.3% with an average daily rate of $174 and RevPAR indexing above the competitive set. The Greenville Hotel market has experienced absorption of 4600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 22.22 acres and is generally level with frontage along Station Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 44 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site contains approximately 44.44 acres and is generally level with frontage along Station Road. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Market Overview

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Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Dover Hotel was originally constructed in 1970 and consists of 214 guest rooms in a building of 42 stories. The roof is a 9-year membrane system with an estimated remaining useful life of 8 years. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 8 meeting rooms.

Building Systems

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Mechanical systems include rooftop package units and central plant equipment of varying age. The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 47 meeting rooms. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 92.2% with an average daily rate of $174 and RevPAR indexing above the competitive set.

Building Systems

Dover Hotel was originally constructed in 1970 and consists of 214 guest rooms in a building of 23 stories. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 10 meeting rooms. The roof is a 2-year membrane system with an estimated remaining useful life of 10 years. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The roof is a 45-year membrane system with an estimated remaining useful life of 11 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Calloway Hotel	Atlanta, GA	11/06/2023	271	$18,346,407	$85,731	7.54%	1990
Hawthorne Lodge	Denver, CO	11/22/2023	113	$18,758,705	$87,657	6.35%	1985
Whitaker Suites	Omaha, NE	11/24/2023	142	$33,401,650	$156,082	5.34%	2003
Keystone Inn & Suites	Houston, TX	10/28/2025	247	$32,758,503	$153,077	6.14%	1980
Amberly Suites	Omaha, NE	08/23/2025	204	$17,518,132	$81,860	6.89%	2004
Marlow Hotel	Milwaukee, WI	05/25/2026	313	$43,001,819	$200,943	6.38%	1990
Lakeshore Lodge	Omaha, NE	02/07/2026	141	$52,501,663	$245,335	6.04%	1987
Kingsley Inn & Suites	Hartford, CT	12/22/2024	210	$46,859,985	$218,972	6.25%	2012
Riverbend Inn & Suites	Des Moines, IA	09/17/2023	308	$48,349,171	$225,931	6.81%	2011
Gatewood Suites	Seattle, WA	06/06/2025	271	$26,176,142	$122,318	5.40%	1984
Kingsley Lodge	Austin, TX	06/20/2025	289	$44,510,476	$207,993	5.18%	2001
Tidewater Inn & Suites	Seattle, WA	09/20/2025	223	$15,408,136	$72,001	7.41%	2015
Cobalt Hotel	Atlanta, GA	01/26/2022	111	$51,721,793	$241,691	8.08%	1994
Lantern Inn & Suites	Richmond, VA	02/02/2025	132	$39,661,611	$185,335	5.71%	2013
Saddlebrook Hotel	Richmond, VA	01/31/2024	113	$52,176,677	$243,816	7.51%	1969
Yarrow Inn & Suites	Jacksonville, FL	07/03/2025	144	$45,981,000	$214,864	7.98%	1992
Eastlake Lodge	Denver, CO	03/05/2023	133	$43,103,007	$201,416	6.86%	2019
Quincy Suites	Newark, NJ	10/04/2025	172	$34,997,480	$163,540	6.34%	1976
Driftwood Lodge	Allentown, PA	11/29/2023	316	$46,207,225	$215,922	7.25%	1991
Quarry Lodge	Madison, WI	01/06/2026	185	$32,544,462	$152,077	6.27%	2004
Newport Lodge	Raleigh, NC	07/15/2025	185	$29,888,083	$139,664	6.31%	2003
Eastlake Suites	Cincinnati, OH	08/25/2023	168	$32,854,747	$153,527	6.03%	1993
Nautilus Suites	Hartford, CT	12/19/2022	188	$39,652,382	$185,292	6.52%	2013
Glenview Suites	Naperville, IL	04/22/2024	265	$16,243,573	$75,905	6.31%	2001
Quincy Suites	St. Louis, MO	04/16/2022	160	$46,872,098	$219,028	7.08%	2023
Bayview Lodge	Birmingham, AL	08/10/2023	149	$33,656,714	$157,274	8.20%	2001
Foxglove Hotel	Milwaukee, WI	10/11/2025	175	$18,731,781	$87,532	7.14%	2016
Newport Suites	Madison, WI	06/17/2026	136	$15,486,327	$72,366	5.49%	2007
Summit Suites	Baltimore, MD	03/01/2022	167	$49,653,424	$232,025	7.49%	1978
Driftwood Lodge	Orlando, FL	06/02/2024	285	$41,491,463	$193,885	6.94%	1986
Magnolia Suites	Raleigh, NC	02/25/2024	141	$49,380,795	$230,751	7.76%	1991
Lantern Suites	Cleveland, OH	12/19/2025	222	$51,795,338	$242,034	6.42%	1981
Banyan Inn & Suites	Norfolk, VA	01/01/2024	278	$42,112,903	$196,789	7.48%	2004
Cypress Hotel	San Antonio, TX	01/07/2025	315	$22,687,766	$106,018	8.08%	1971
Nautilus Lodge	Richmond, VA	10/21/2022	240	$19,032,576	$88,937	8.14%	2000
Nautilus Inn & Suites	Newark, NJ	05/05/2024	287	$45,383,746	$212,074	7.86%	1977
Fairmont Suites	Grand Rapids, MI	01/12/2025	271	$33,564,100	$156,842	5.53%	2019
Cedar Suites	Birmingham, AL	12/05/2022	116	$35,412,196	$165,478	7.10%	1971
Willow Suites	Seattle, WA	01/22/2025	222	$24,427,397	$114,147	6.80%	2013
Calloway Inn & Suites	Cleveland, OH	10/01/2023	259	$29,326,762	$137,041	7.16%	2001
Marlow Inn & Suites	Albuquerque, NM	01/07/2024	231	$22,264,576	$104,040	7.78%	1990
Pelican Lodge	Birmingham, AL	07/14/2026	282	$15,801,612	$73,839	8.19%	1976

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Operating Performance

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.68% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $355,000 or approximately 39.92 per square foot, with real estate taxes representing the largest line item. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Debt service coverage ratio was 7.03x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $126,000 or approximately 42.69 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $200,000, representing a 8.0% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Valuation Discussion

Trailing twelve-month occupancy was 94.2% with an average daily rate of $174 and RevPAR indexing above the competitive set. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $352,000, representing a 6.9% increase over the prior year. The going-in capitalization rate of 5.63% reflects the in-place income and the stabilized occupancy assumption. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Debt service coverage ratio was 5.70x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Trailing twelve-month occupancy was 90.7% with an average daily rate of $174 and RevPAR indexing above the competitive set. Effective gross income for the trailing period was $419,000, representing a 3.4% increase over the prior year. The going-in capitalization rate of 7.65% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Effective gross income for the trailing period was $309,000, representing a 9.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $450,000 or approximately 33.83 per square foot, with real estate taxes representing the largest line item. The hotel operates under a franchise agreement with Meridian Select, with a complimentary breakfast, indoor pool and 40 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 6.72% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Wexford Suites	4.2 mi	2018	1BR	$174.77	91.2%	1 mo. free
Aspen Suites	4.0 mi	2017	Unit	$174.80	97.9%	$500
Heritage Inn & Suites	3.6 mi	1990	Unit	$199.15	90.7%	None
Thornton Hotel	2.2 mi	2017	1BR	$181.86	86.7%	None
Gatewood Lodge	4.6 mi	2017	2BR	$199.04	96.3%	$500
Cobalt Suites	0.6 mi	2016	Inline	$191.72	86.9%	$500
Elmhurst Hotel	4.9 mi	1990	Suite	$190.14	86.9%	$500
Palisade Inn & Suites	0.8 mi	2015	Inline	$200.54	90.4%	None
Cypress Lodge	3.9 mi	1992	Bay	$180.33	92.0%	$500
Garnet Hotel	1.4 mi	2014	Suite	$161.61	92.5%	None
Zephyr Suites	4.5 mi	2016	2BR	$190.58	87.7%	None
Prairie Suites	2.8 mi	1982	Inline	$176.15	91.6%	$500
Cedar Hotel	3.4 mi	2010	Bay	$154.04	87.4%	1 mo. free
Banyan Suites	4.2 mi	1995	Unit	$189.58	92.8%	None
Onyx Lodge	4.8 mi	1999	Suite	$166.99	94.7%	None
Orchard Suites	0.9 mi	2015	Inline	$156.66	88.8%	1 mo. free
Gatewood Hotel	1.9 mi	1986	1BR	$183.38	88.3%	$500
Laurel Inn & Suites	0.4 mi	2016	2BR	$189.13	92.6%	None
Elmhurst Suites	4.8 mi	1979	Unit	$181.77	93.9%	$500
Cobalt Lodge	1.5 mi	2009	Suite	$202.95	92.8%	$500
Driftwood Suites	2.9 mi	1990	Inline	$186.82	92.8%	None
Amberly Hotel	3.1 mi	1987	1BR	$188.39	98.0%	None
Tidewater Suites	2.1 mi	1999	Unit	$174.44	95.3%	None
Summit Lodge	3.7 mi	1978	Unit	$150.27	96.3%	1 mo. free
Windmill Lodge	0.4 mi	1990	Inline	$198.27	92.3%	1 mo. free
Eastlake Hotel	0.7 mi	1972	Suite	$153.48	95.9%	$500
Lakeshore Hotel	1.3 mi	2000	Bay	$167.77	89.7%	1 mo. free
Garnet Hotel	2.6 mi	1993	Bay	$165.14	88.3%	None
Everett Hotel	2.5 mi	2016	Studio	$192.22	88.9%	None
Windmill Inn & Suites	0.6 mi	2021	2BR	$149.97	97.4%	1 mo. free
Newport Hotel	2.0 mi	2012	2BR	$157.00	87.7%	$500
Jasper Suites	4.1 mi	2004	Bay	$164.03	87.1%	None
Wexford Inn & Suites	4.3 mi	1999	Inline	$169.24	92.8%	$500
Glenview Lodge	1.7 mi	1978	Bay	$186.14	96.5%	1 mo. free
Hawthorne Hotel	2.5 mi	2010	2BR	$186.88	93.9%	None
Driftwood Suites	0.6 mi	1982	1BR	$193.94	94.9%	$500
Pinecrest Suites	2.7 mi	1971	Unit	$167.75	94.5%	1 mo. free
Tidewater Lodge	0.2 mi	1978	Inline	$154.55	94.5%	None
Zephyr Hotel	0.8 mi	1986	Suite	$182.30	97.1%	None
Maple Inn & Suites	2.3 mi	1990	1BR	$176.66	91.5%	$500
Eastlake Suites	4.5 mi	1988	Studio	$173.95	91.5%	$500
Cypress Suites	2.2 mi	2022	2BR	$199.23	94.5%	None

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Dover Hotel and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on November 1, 2018.

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Samuel Coleman, CPG

Meridian Valuation Advisors

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